

.2 EBIT Margin

EBIT margin is a measure of a company's profitability calculated by dividing EBIT by revenue. It shows how much of each rupee of revenue was converted into profit. A higher EBIT margin indicates that a company is more profitable.

Formula: **EBIT** / **Revenue**

$$\text{EBIT Margin} = \frac{344.31}{6410} = 5.37\%$$

PAT Margin

Formula: **PAT** / **Revenue**

PAT = 242 Cr.

$$\text{So, PAT Margin} = \frac{242}{6410} = 4\%$$

As a result, we observed how the 25% gross profit reduced to 4% at net profit level gradually due to our other expenses. (depreciation expenses, amortization expenses, marketing costs, etc)

Margins at different levels and trends in them explain the major losses of the company. Increase in margins is a very healthy sign for any company.

.3 Return on Equity

Return on equity (ROE) is a financial ratio that shows how well a company is managing the capital that shareholders have invested in it. If the investors are the investors are putting in Rs. 100 worth of equity, how much is the company able to generate on that as returns.

Formula: **PAT** /

Equity

Changes in Income Statement

Changes in Balance Sheet